

4-Bed HMO | Asking Price £325,000

Victoria Terrace, Exeter | 4 Bedrooms | Bills Excluded | Already Licensed

1. PROPERTY & PURCHASE ASSUMPTIONS

	Value			Notes
Purchase price	£325,000			Asking / negotiated price
LTV (loan-to-value)	75%			Standard BTL HMO mortgage
Mortgage interest rate (p.a.)	5.50%			Current BTL rate approx.
Management fee rate	12%			12% of gross rent for managed HMO
Void allowance (weeks/room/year)	3			Conservative student HMO estimate

2. RENTAL INCOME PROJECTION

	Monthly (£)	Annual (£)		Notes
Bedroom 1 (large, bay window)	£625	£7,500		Bills excluded
Bedroom 2	£575	£6,900		Bills excluded
Bedroom 3 (small)	£525	£6,300		Bills excluded
Bedroom 4	£575	£6,900		Bills excluded
Gross monthly income	£2,300	£27,600		Sum of all rooms

3. REFURBISHMENT COST BREAKDOWN

	Cost (£)			Notes
Full kitchen replacement	£7,000			HMO-grade units, supply & fit
Bathroom refurb (existing)	£4,000			Retile, new suite, ventilation
Second bathroom addition	£7,500			Required for 4+ occupant ratio
Fire doors throughout	£3,500			6-8 doors, self-closing hinges
Interlinked smoke/heat alarms	£1,200			HMO mandatory requirement
Full redecoration throughout	£4,500			All rooms, ceilings, woodwork
Carpet replacement throughout	£3,000			Bedrooms, stairs, communal
Garden clearance	£600			Overgrown — photos confirm
Subtotal (before contingency)	£31,300			
Contingency (15%)	£4,695			Always add 15% — costs always overrun
TOTAL REFURBISHMENT	£35,995			Working budget figure

4. TOTAL CASH REQUIRED

	Amount (£)			Notes
Deposit (25%)	£81,250			25% of purchase price
Refurbishment (total)	£35,995			From Section 3
Stamp duty (SDLT)	£20,000			Additional dwelling surcharge: 5% up to Solicitor, searches, disbursements
Legal fees	£2,000			RICS homebuyer or full structural
Survey / valuation	£600			
Mortgage broker fee	£500			Typical BTL broker fee
Sourcing fee (if applicable)	£3,500			Payable on exchange
TOTAL CASH REQUIRED	£143,845			Total capital the investor must deploy

5. ANNUAL RUNNING COSTS

	Monthly (£)	Annual (£)		Notes
Mortgage interest	£1,117	£13,406		Interest-only on mortgage balance
Management fee	£276	£3,312		12% of gross rent
HMO licence (amortised)	£13	£160		£800 / 5yr licence
Landlord / HMO insurance	£70	£840		Specialist HMO policy estimate
Maintenance reserve	£130	£1,560		£130/month — ongoing repairs
Void allowance	£133	£1,592		4 rooms × 3 wks void/yr
TOTAL ANNUAL COSTS	£1,739	£20,871		All running costs before profit

6. RETURNS ANALYSIS

	Value	Benchmark		Assessment
Gross yield	8.49%	8.00%		Target: 8%+
Net annual income		£6,729		After all costs
Net yield	2.07%	6.00%		Target: 6%+
Monthly net cash flow		£561		After all costs incl. mortgage
Cash-on-cash ROI	4.68%	8.00%		Target: 8%+
Break-even occupancy	75.62%			% of gross rent needed to cover all costs

7. DEAL VERDICT

Gross yield vs 8% target	✓ PASSES	
Net yield vs 6% target	✗ FAILS	not worth refurb
ROI vs 8% target	✗ FAILS	tot cash too high

4-Bed HMO | Negotiated Price £270,000

Victoria Terrace, Exeter | 4 Bedrooms | Bills Excluded | Already Licensed

1. PROPERTY & PURCHASE ASSUMPTIONS

	Value			Notes
Purchase price	£270,000			
LTV (loan-to-value)	75%			
Mortgage interest rate (p.a.)	5.50%			
Management fee rate	12%			
Void allowance (weeks/room/year)	3			

2. RENTAL INCOME PROJECTION

	Monthly (£)	Annual (£)		Notes
Bedroom 1 (large, bay window)	£625	£7,500		
Bedroom 2	£575	£6,900		
Bedroom 3 (small)	£525	£6,300		
Bedroom 4	£575	£6,900		
Gross monthly income	£2,300	£27,600		

3. REFURBISHMENT COST BREAKDOWN

	Cost (£)			Notes
Full kitchen replacement	£7,000			
Bathroom refurb (existing)	£4,000			
Second bathroom addition	£7,500			
Fire doors throughout	£3,500			
Interlinked smoke/heat alarms	£1,200			
Full redecoration throughout	£4,500			
Carpet replacement throughout	£3,000			
Garden clearance	£600			
Subtotal (before contingency)	£31,300			
Contingency (15%)	£4,695			
TOTAL REFURBISHMENT	£35,995			

4. TOTAL CASH REQUIRED

	Amount (£)			Notes
Deposit (25%)	£67,500			
Refurbishment (total)	£35,995			
Stamp duty (SDLT)	£14,500			
Legal fees	£2,000			
Survey / valuation	£600			
Mortgage broker fee	£500			
Sourcing fee (if applicable)	£3,500			
TOTAL CASH REQUIRED	£124,595			

5. ANNUAL RUNNING COSTS

	Monthly (£)	Annual (£)		Notes
Mortgage interest	£928	£11,138		
Management fee	£276	£3,312		
HMO licence (amortised)	£13	£160		
Landlord / HMO insurance	£70	£840		
Maintenance reserve	£130	£1,560		
Void allowance	£133	£1,592		
TOTAL ANNUAL COSTS	£1,550	£18,602		

6. RETURNS ANALYSIS

	Value	Benchmark		Assessment
Gross yield	10.22%	8.00%		
Net annual income		£8,998		
Net yield	3.33%	6.00%		
Monthly net cash flow		£750		
Cash-on-cash ROI	7.22%	8.00%		
Break-even occupancy	67.40%			

7. DEAL VERDICT

Gross yield vs 8% target	✓ PASSES	
Net yield vs 6% target	✗ FAILS	
ROI vs 8% target	✗ FAILS	tot cash too high

4-Bed HMO | Asking Price £325,000

Victoria Terrace, Exeter | 4 Bedrooms | Bills Excluded | Already Licensed

1. PROPERTY & PURCHASE ASSUMPTIONS

	Value			Notes
Purchase price	£325,000			Asking / negotiated price
LTV (loan-to-value)	75%			Standard BTL HMO mortgage
Mortgage interest rate (p.a.)	5.50%			Current BTL rate approx.
Management fee rate	12%			12% of gross rent for managed HMO
Void allowance (weeks/room/year)	3			Conservative student HMO estimate

2. RENTAL INCOME PROJECTION

	Monthly (£)	Annual (£)		Notes
Bedroom 1 (large, bay window)	£625	£7,500		Bills excluded
Bedroom 2	£575	£6,900		Bills excluded
Bedroom 3 (small)	£525	£6,300		Bills excluded
Bedroom 4	£575	£6,900		Bills excluded
Gross monthly income	£2,300	£27,600		Sum of all rooms

3. REFURBISHMENT COST BREAKDOWN

	Cost (£)			Notes
Full kitchen replacement	£7,000			HMO-grade units, supply & fit
Bathroom refurb (existing)	£4,000			Retile, new suite, ventilation
Second bathroom addition	£7,500			Required for 4+ occupant ratio
Fire doors throughout	£3,500			6-8 doors, self-closing hinges
Interlinked smoke/heat alarms	£1,200			HMO mandatory requirement
Full redecoration throughout	£4,500			All rooms, ceilings, woodwork
Carpet replacement throughout	£3,000			Bedrooms, stairs, communal
Garden clearance	£600			Overgrown — photos confirm
Subtotal (before contingency)	£31,300			
Contingency (15%)	£4,695			Always add 15% — costs always overrun
TOTAL REFURBISHMENT	£35,995			Working budget figure

4. TOTAL CASH REQUIRED

	Amount (£)			Notes
Deposit (25%)	£81,250			25% of purchase price
Refurbishment (total)	£35,995			From Section 3
Stamp duty (SDLT)	£20,000			Additional dwelling surcharge: 5% up to Solicitor, searches, disbursements
Legal fees	£2,000			RICS homebuyer or full structural
Survey / valuation	£600			
Mortgage broker fee	£500			Typical BTL broker fee
Sourcing fee (if applicable)	£3,500			Payable on exchange
TOTAL CASH REQUIRED	£143,845			Total capital the investor must deploy

5. ANNUAL RUNNING COSTS

	Monthly (£)	Annual (£)		Notes
Mortgage interest	£1,117	£13,406		Interest-only on mortgage balance
Management fee	£276	£3,312		12% of gross rent
HMO licence (amortised)	£13	£160		£800 / 5yr licence
Landlord / HMO insurance	£70	£840		Specialist HMO policy estimate
Maintenance reserve	£130	£1,560		£130/month — ongoing repairs
Void allowance	£133	£1,592		4 rooms × 3 wks void/yr
TOTAL ANNUAL COSTS	£1,739	£20,871		All running costs before profit

6. RETURNS ANALYSIS

	Value	Benchmark		Assessment
Gross yield	8.49%	8.00%		Target: 8%+
Net annual income		£6,729		After all costs
Net yield	2.07%	6.00%		Target: 6%+
Monthly net cash flow		£561		After all costs incl. mortgage
Cash-on-cash ROI	4.68%	8.00%		Target: 8%+
Break-even occupancy	75.62%			% of gross rent needed to cover all costs

7. DEAL VERDICT

Gross yield vs 8% target	✓ PASSES	
Net yield vs 6% target	✗ FAILS	not worth refurb
ROI vs 8% target	✗ FAILS	tot cash too high

5-Bed HMO (with conversion) | Asking Price £325,000

Victoria Terrace, Exeter | 5 Bedrooms inc. conversion | Bills Excluded

1. PROPERTY & PURCHASE ASSUMPTIONS

	Value			Notes
Purchase price	£325,000			
LTV (loan-to-value)	75%			
Mortgage interest rate (p.a.)	5.50%			
Management fee rate	12%			
Void allowance (weeks/room/year)	3			

2. RENTAL INCOME PROJECTION

	Monthly (£)	Annual (£)		Notes
Bedroom 1 (large, bay window)	£625	£7,500		
Bedroom 2	£575	£6,900		
Bedroom 3 (small)	£525	£6,300		
Bedroom 4	£575	£6,900		
Bedroom 5 (converted living room)	£550	£6,600		
Gross monthly income	£2,850	£34,200		

3. REFURBISHMENT COST BREAKDOWN

	Cost (£)			Notes
Full kitchen replacement	£7,000			
Bathroom refurb (existing)	£4,000			
Second bathroom addition	£7,500			
Fire doors throughout	£3,500			
Interlinked smoke/heat alarms	£1,200			
Full redecoration throughout	£4,500			
Carpet replacement throughout	£3,000			
Garden clearance	£600			
Living room → 5th bedroom conversion	£6,500			
Subtotal (before contingency)	£37,800			
Contingency (15%)	£5,670			
TOTAL REFURBISHMENT	£43,470			

4. TOTAL CASH REQUIRED

	Amount (£)			Notes
Deposit (25%)	£81,250			
Refurbishment (total)	£43,470			
Stamp duty (SDLT)	£20,000			
Legal fees	£2,000			
Survey / valuation	£600			
Mortgage broker fee	£500			
Sourcing fee (if applicable)	£3,500			
TOTAL CASH REQUIRED	£151,320			

5. ANNUAL RUNNING COSTS

	Monthly (£)	Annual (£)		Notes
Mortgage interest	£1,117	£13,406		

Management fee	£342	£4,104		
HMO licence (amortised)	£13	£160		
Landlord / HMO insurance	£70	£840		
Maintenance reserve	£130	£1,560		
Void allowance	£164	£1,973		
TOTAL ANNUAL COSTS	£1,837	£22,043		

6. RETURNS ANALYSIS

	Value	Benchmark		Assessment
Gross yield	10.52%	8.00%		
Net annual income		£12,157		
Net yield	3.74%	6.00%		
Monthly net cash flow		£1,013		
Cash-on-cash ROI	8.03%	8.00%		
Break-even occupancy	64.45%			

7. DEAL VERDICT

Gross yield vs 8% target	✓ PASSES	
Net yield vs 6% target	✗ FAILS	need AP adjustments
ROI vs 8% target	✓ PASSES	

5-Bed HMO (with conversion) | Negotiated Price £270,000

Victoria Terrace, Exeter | 5 Bedrooms inc. conversion | Bills Excluded

1. PROPERTY & PURCHASE ASSUMPTIONS

	Value			Notes
Purchase price	£270,000			
LTV (loan-to-value)	75%			
Mortgage interest rate (p.a.)	5.00%			
Management fee rate	12%			
Void allowance (weeks/room/year)	2			

2. RENTAL INCOME PROJECTION

	Monthly (£)	Annual (£)		Notes
Bedroom 1 (large, bay window)	£685	£8,220		
Bedroom 2	£635	£7,620		
Bedroom 3 (small)	£585	£7,020		
Bedroom 4	£635	£7,620		
Bedroom 5 (converted living room)	£660	£7,920		
Gross monthly income	£3,200	£38,400		

3. REFURBISHMENT COST BREAKDOWN

	Cost (£)			Notes
Full kitchen replacement	£7,000			
Bathroom refurb (existing)	£4,000			
Second bathroom addition	£7,500			
Fire doors throughout	£3,500			
Interlinked smoke/heat alarms	£1,200			
Full redecoration throughout	£4,500			
Carpet replacement throughout	£3,000			
Garden clearance	£600			
Living room → 5th bedroom conversion	£6,500			
Subtotal (before contingency)	£37,800			
Contingency (15%)	£5,670			
TOTAL REFURBISHMENT	£43,470			

4. TOTAL CASH REQUIRED

	Amount (£)			Notes
Deposit (25%)	£67,500			
Refurbishment (total)	£43,470			
Stamp duty (SDLT)	£14,500			
Legal fees	£2,000			
Survey / valuation	£600			
Mortgage broker fee	£500			
Sourcing fee (if applicable)	£6,000			
TOTAL CASH REQUIRED	£134,570			

5. ANNUAL RUNNING COSTS				
	Monthly (£)	Annual (£)		Notes
Mortgage interest	£844	£10,125		
Management fee	£384	£4,608		
HMO licence (amortised)	£13	£160		
Landlord / HMO insurance	£70	£840		
Maintenance reserve	£130	£1,560		
Void allowance	£123	£1,477		
TOTAL ANNUAL COSTS	£1,564	£18,770		

6. RETURNS ANALYSIS				
	Value	Benchmark		Assessment
Gross yield	14.22%	8.00%		
Net annual income		£19,630		
Net yield	7.27%	6.00%		
Monthly net cash flow		£1,636		
Cash-on-cash ROI	14.59%	8.00%		
Break-even occupancy	48.88%			

7. DEAL VERDICT		
Gross yield vs 8% target	✓ PASSES	
Net yield vs 6% target	✓ PASSES	
ROI vs 8% target	✓ PASSES	